Cowork Enablement Camp — Lokesh's Notes

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1. Quick summary

Cowork moves Copilot from answering prompts to finishing outcome-based, multi-step work across Microsoft 365, and it is billed by usage. Day 1 covered the value proposition, scenarios, skills, plugins and a hands-on lab; Day 2 covered credit forecasting, cost control, value reporting and billing design. Day 2 content is Microsoft Confidential, so keep this internal.

Area	Key point
Skills	A skill is a versioned, testable procedure with an output contract; it is the reusable IP we own
Plugins	Business actions under a named identity, with a trace; most first engagements are 2 skills + 1 plugin
Cost	Every task falls into a credit band (light, medium, heavy) and can be estimated before rollout
Value	Baseline the task before go-live, or there is nothing to measure against
Where it fits	Cowork does work for employees; Copilot Studio, Foundry and Fabric are where we build agents for a process, an app or a data set

2. Day 1 notes

2.1 What Cowork is

- **Chat answers you; Cowork does the work.** You give the outcome; it plans, pulls context, acts across apps and returns finished work (decks, briefs, dashboards, emails, Planner tasks).
- It can queue tasks and run some in parallel, runs on schedules or Outlook/Teams triggers, and pauses for approval before actions land.
- **Three building blocks:** Work IQ = what it knows (M365 context, plus D365 and Fabric via plugins), Skills = how the work is done, Plugins = what it can act on.

- **Hands-on lab:** from three instructions, Cowork drafted an Outlook email from a PDF, found a SharePoint workbook on its own and built an interactive dashboard, then created and prioritised Planner tasks. A task is judged by whether the work got done, not by how good the reply reads.

2.2 Where it creates value

Microsoft's "Nifty Fifty" gives about 10 scenarios per function. Pick a real workflow with a real owner and a measurable outcome; prefer high-value work over high-volume work (inbox triage runs often but returns little).

Function	Examples
Executives	Daily command center, board pre-reads, leadership briefs, decision briefs
Sales	Meeting prep, RFP responses, account research, at-risk deals, renewal/QBR prep
Marketing	Launch kits, messaging governance, campaign readouts, competitive response
Customer service	Case-intake brief, root-cause diagnosis, SLA-risk triage, escalation handoff, VoC synthesis
Finance & ops	Close and variance pack, audit evidence, reconciliation, procurement
Legal	Playbook contract review, draft from precedent, obligations tracker

2.3 Building a good skill

- **Six parts:** name, description (decides whether it gets picked), scoped instructions incl. what *not* to do, inputs/outputs, grounding sources, success criteria.
- **Write it from a real run, not a process document.** Watch one run, capture the decision rules, collect exceptions, agree a good and a rejected sample output, then read it back to the practitioner.
- **Determinism dial:** goal only → add a sample output → add steps → add templates → add Python. More structure gives less variance.
- **Quality bar before shipping:** right skill picked 10/10, completes 9/10, stops on out-of-scope cases 3/3, every action traceable.
- **Version like a product:** major / minor / patch, keep the last good version, never edit a live skill during business hours.

- **Cost:** a tight vs sloppy skill can differ by 10× in credits for the same result. One job per skill; cap what it reads.
- Skills live in OneDrive `/Cowork/skills/<name>/SKILL.md`, up to 50 per user, no admin step needed.

2.4 Plugins

Use	When
Skill	Work repeats and must be consistent
Plugin	Cowork must act on an external system
Connector	You need data from a supported service
MCP	You want to expose your own tools in a standard way

- A plugin is a .zip with `manifest.json` (skills + MCP connectors, auth: none / OAuth / API key), uploaded as an agent in the M365 Admin Center.
- **Design checklist:** name the action (verb first), type every input, decide the identity and scopes, define how you verify the write, plan the failure (retry / escalate / stop).
- A 200 response is not proof the record changed; read it back.

2.5 Patterns worth reusing

- **Monthly supplier review** = Cowork + Skill 1 (gather reports) + Skill 2 (draft pack) + plugin (file outcome to system of record). Microsoft called this the shape of most first engagements.
- **Jira release readiness:** skill + Jira connector + a rules file returned an evidence-backed NO-GO with blocker links. It is a recommendation, not an authorisation.

3. Day 2 notes

Agenda: FinOps introduction, multi-tenant cost control, FinOps I (forecast usage, build a consumption plan), value reporting with Copilot Analytics Hub, FinOps II (billing design).

3.1 How a task is priced

Credits come from four inputs: model, context retrieval, tool calls and runtime. Microsoft's planning bands (1 credit = $0.01 PAYG, to be validated):

Task	Shape	Example	Credits
Light	Few sources, one output	Weekly status update from calendar	100–300
Medium	Many sources, 2+ outputs	Meeting prep: brief + Excel trend + deck	300–700
Heavy	Broad data, deep reasoning, many outputs	6 months of usage data → leadership report	700+

To estimate a budget, use actual consumption if the customer already uses Cowork or Work IQ API; otherwise use the Copilot Credit Estimator by persona and intensity.

3.2 FinOps maturity

Control spend (policies, limits, alerts) → Measure value (cost vs value across services) → Optimise (right-size models, recommendations). Microsoft also stressed that FinOps is not only for IT admins: business users and makers need it too.

3.3 Admin controls shown (Microsoft NDA, directional)

- **Available now:** tenant, group and user spending policies; departmental chargeback via Azure subscriptions; usage by user, workload and policy; an end-user credit meter.
- **Preview now:** model choice per group (which model families and effort levels a group may use).
- **October 2026:** resource-scoped policies (budget per agent or environment) and Copilot Studio agents added to cost management.
- **November 2026:** agent value and cost in dollars incl. third-party agents, month-end spend forecasts per policy, model-routing recommendations and runaway-agent alerts, usage APIs and bulk export.

3.4 Value starter kit (15 minutes per use case, before go-live)

- **Five questions:** what work does it replace and who does it today; how long and how often; what goes wrong; which number proves it worked; who checks it, and when.
- **Value hypothesis:** *We believe [task] for [who] will move [measure] from [baseline] to [target] by [date], for about [credits] a month.*
- **Baseline:** time per task (2-week sample), volume, rework rate, cycle time, cost today (hours × rate), an owner for each number.
- The Analytics Hub has a browser-only **Cowork Chargeback** app with synthetic data, useful for showing customers cost allocation by unit and person.

4. Hands-on: estimating cost for a customer service client

We priced one customer service operation with Microsoft's two estimators: a self-service bot for the client's customers, and Cowork for the client's service agents. The bot costs about $451 a month; Cowork for 150 agents costs about $19.7K–$35K a month. They solve different problems, so they complement each other rather than compete.

4.1 Copilot Studio bot (customers)

Scenario: a support agent that answers FAQs, checks order status and creates a D365 case. Tool: Copilot Studio estimator (microsoft.github.io/copilot-studio-estimator).

Input	Value
Users / interactions per month	5,000 customers × 2 = 10,000 conversations
Responses from knowledge	60%
Tools	2 prompts, 2 agent flows (5 actions each), 1 custom connector
Prompt model	2 Basic prompts, triggered once per conversation

Cost driver	Credits	Share
Agent tools	28,000	62%
Knowledge	12,000	27%
Optional modifiers (prompts)	5,100	11%
Agent flows	~1	~0%
Total	**45,101 (~$451/month)**	**~$0.045 per conversation**

Tool calls, not flows, drive the cost. Moving prompts from Basic to Premium models raises it further, so model choice is a cost lever.

4.2 Cowork (service agents)

Scenario: 150 customer-facing service agents using Cowork for case briefs, root-cause analysis and escalation handoffs. Tool: Copilot Credit Estimator, persona *Customer Facing Knowledge Workers*, default split 40% light / 40% medium / 20% heavy, 22 working days a month.

Intensity	Users	Credits per user per day	Monthly credits
Light	60	260–720	0.34M–0.95M
Medium	60	720–1,030	0.95M–1.36M
Heavy	30	1,030–1,800	0.68M–1.19M
Total	**150**		**2.0M–3.5M (~$19.7K–$35K/month)**

That is about $131–$233 per agent per month. Heavy users are 20% of people but about a third of the cost, which is why spending policies and per-user limits matter. Even a "light" user is assumed to run 2–3 tasks every working day. Estimates with Heavy usage are minimums, as the tool's disclaimer notes.

4.3 Side by side

	Copilot Studio bot	Cowork
Serves	5,000 customers	150 service agents
Monthly cost	~$451	~$19.7K–$35K
Unit cost	~$0.045 per conversation	~$131–$233 per agent
Value proven by	Contacts deflected from agents	Hours saved per agent

Break-even for Cowork: at an illustrative $30/hour loaded agent cost, each agent needs to save about 4.5–8 hours a month. Both figures are directional estimates, not quotes; validate against current pricing before sharing with a customer.

5. What stood out for us

Observation	Why it matters
Skills are reusable IP	A skill library makes the second engagement cheaper; target 3 reusable skills per vertical
Cost is a design decision	Skill scope, payload size and model choice change credits by up to 10×; size every scenario in discovery
Customers ask about cost first	We need a credit estimate ready in discovery, not after rollout

Observation	Why it matters
Value needs a baseline	Without a pre-go-live baseline, usage can't be turned into a dollar value
Fit with D365 Contact Center	Case intake, root-cause diagnosis, knowledge-cited replies, SLA-risk triage and escalation handoff map directly to our service work
Same operation, two tools	A Copilot Studio bot deflects customer contacts; Cowork speeds up the agents who handle the rest

6. Cowork vs Copilot Studio vs Foundry vs Fabric data agents

Cowork is a ready-made agent that employees use to get their own work done. Copilot Studio, Microsoft Foundry and Fabric data agents are where we build agents for a specific process, app or data set.

	Copilot Cowork	Copilot Studio	Microsoft Foundry	Fabric data agent
What it is	Microsoft's ready-made agent inside M365 Copilot that takes an outcome and does multi-step work across M365 apps	Low-code platform to build custom agents with topics, knowledge, tools and flows	Pro-code Azure platform to build AI apps and agents with full model choice, orchestration and evaluation	Conversational Q&A over data in Microsoft Fabric (lakehouse, warehouse, semantic models)
Who builds	Nobody builds it; users and consultants add skills, partners build plugins	Makers and functional consultants	Developers and AI engineers	Data and BI teams configure it
Who uses it	Employees (knowledge workers)	Employees or external customers, in Teams, websites, M365 Copilot, D365	End users of the app it's embedded in	Business users asking data questions, directly or through other agents

	Copilot Cowork	Copilot Studio	Microsoft Foundry	Fabric data agent
How you shape it	Skills (method) + plugins (actions)	Topics, knowledge sources, connectors, agent flows	Code, models, tools, multi-agent orchestration	Data sources and instructions on how to query them
Pricing	Copilot Credits by usage (light/medium/heavy tasks)	Copilot Credits per conversation and action	Azure consumption (model tokens and compute)	Fabric capacity
Example in our scenario	Agent prepares a case brief or escalation handoff	Customer self-service bot that checks orders and creates D365 cases	Custom claims-triage agent built into the client's own app	"What was average handle time by queue last month?"

Rule of thumb:

- **"Do this work for me"** → Cowork
- **"Build an agent for this business process, fast"** → Copilot Studio
- **"Build AI into our own product, with full control"** → Foundry
- **"Let people ask questions of our data"** → Fabric data agent

They combine rather than compete. A Fabric data agent can be a knowledge source for a Copilot Studio or Foundry agent, and Cowork reaches Dynamics 365 and Fabric through plugins. In a contact centre, Copilot Studio serves the customer, Cowork helps the service agent, Fabric answers the manager's data questions, and Foundry handles anything that needs custom models or deep integration.